



Investor Presentation June 2014



EARTHMAX
RADIAL OTR TYRES



AGRIMAX
RADIAL TRACTOR TYRES



MULTIMAX
RADIAL MPT TYRES

Safe Harbor



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Content

	Page
A. Company Overview	4
B. Global Markets - Local Production	9
C. Key Competitive Advantages	16
D. Growth Strategies	18
E. Financial Highlights	20

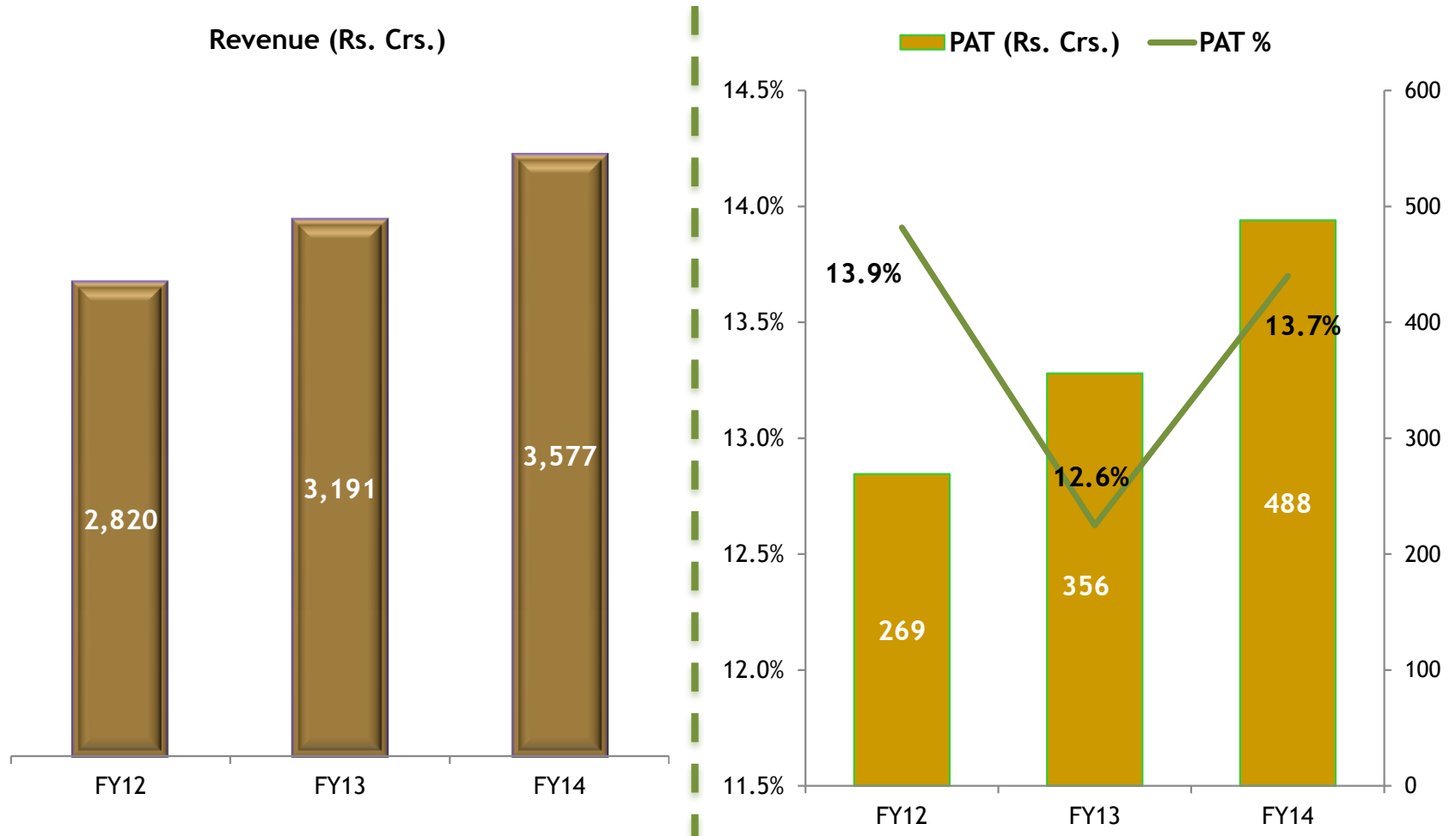
Company Overview



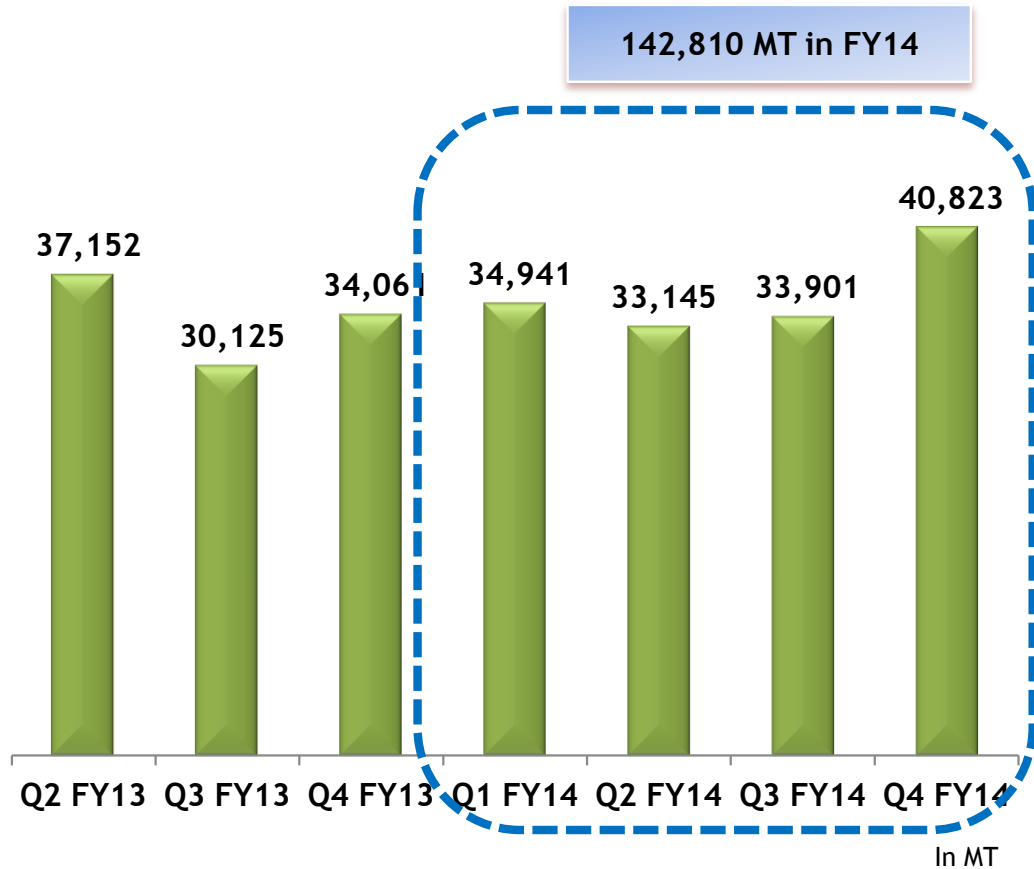
Balkrishna Industries...

- ◉ India's leading exporter of "Off-Highway Tires"
- ◉ Widest and comprehensive product portfolio of over 2000 SKUs
- ◉ 200,000 MTPA current achievable production capacity
 - Achievable capacity to be further enhanced to 300,000 MT by FY 2015
- ◉ Market presence in more than 120 countries
 - Europe, America, Asia Pacific, Middle-East, ANZ etc
- ◉ Exponential Revenue & Earning growth

Revenue & Profit Growth



Volume Trend & Guidance



FY 15 Volume Guidance of 160,000 MT

Under the able leadership of ...

Mr. Arvind Poddar - Chairman & Managing Director

- Promoter of the Company
- In last 6 years, Company grew exponentially with around 30% CAGR
- Commissioning of new plant at Bhuj, Gujarat with capacity creation of over 80%

The Core Team Executing the Vision

Mr. Rajiv Poddar

Joint Managing Director

Mr. B K Bansal

Director - Finance

Mr. D M Vaidya

Director - Technical

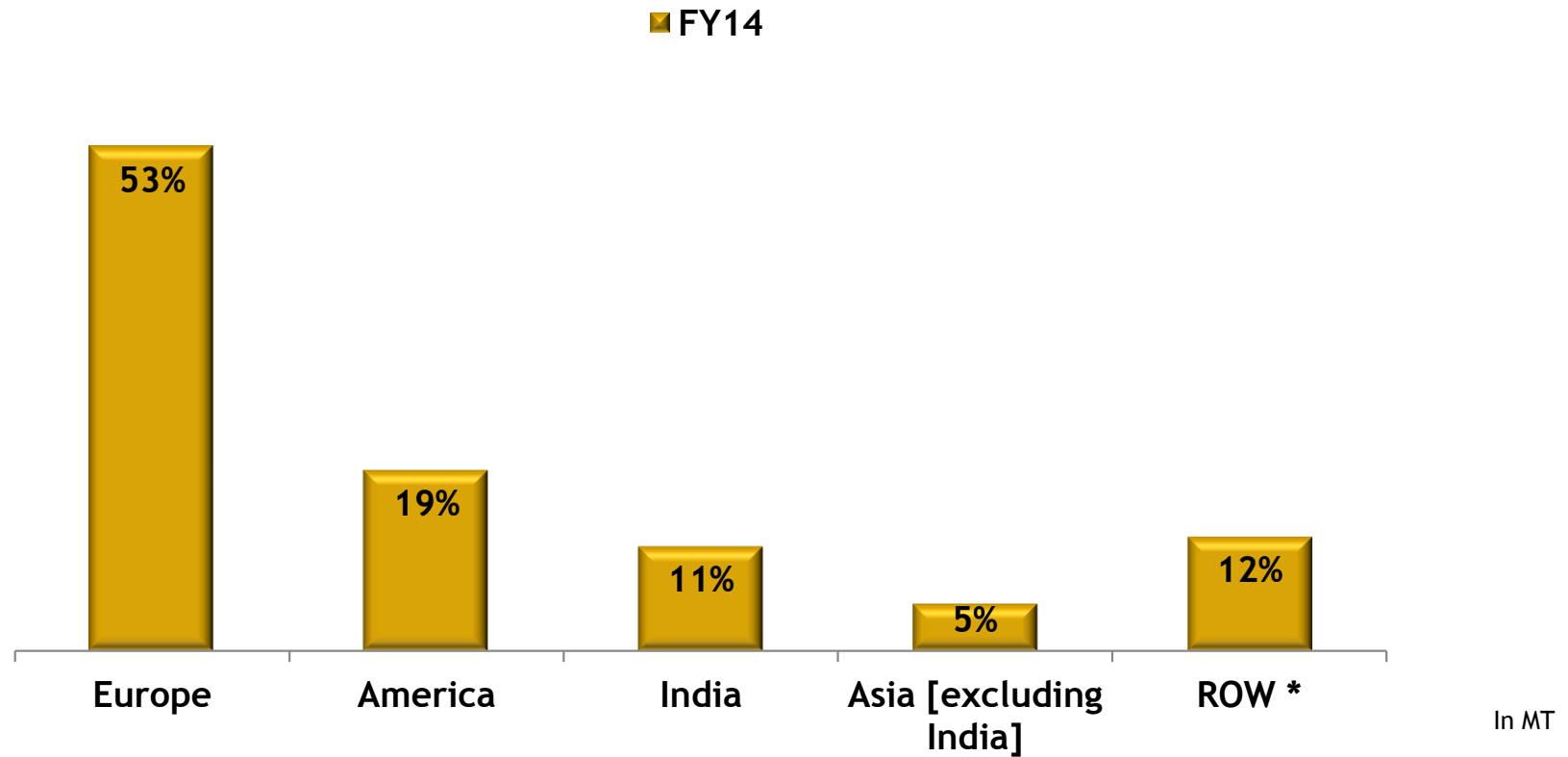
Mr. M S Bajaj

Sr. V P - Commercial

Global Markets - Local Production



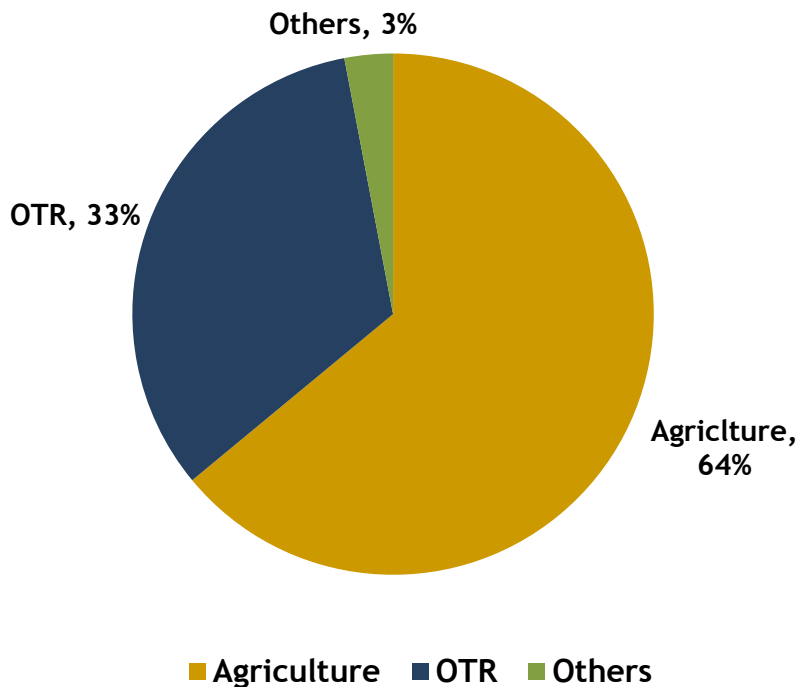
Presence in over 120 countries...



** Includes Australia, New Zealand, Middle East & Africa*

One-stop shop for off highway tires

Sales Volume (FY14)



Agriculture

- Tractors, Trailers, Farm equipments
- Tractor Radial Tires under brand “Agrimax”

OTR

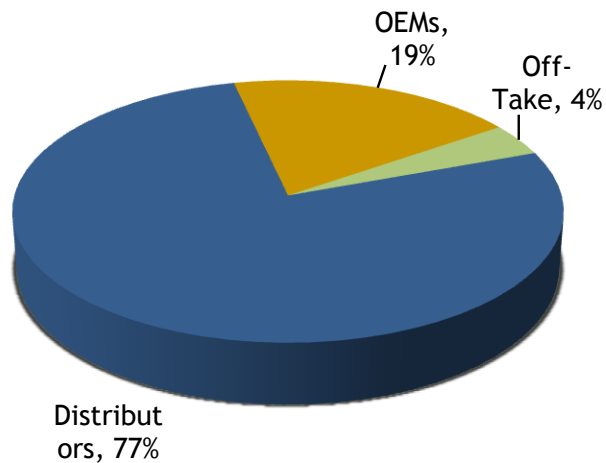
- Industrial, Construction & Earth Mover tires
- Steel Radial OTR tire under brand “Earthmax”

Others

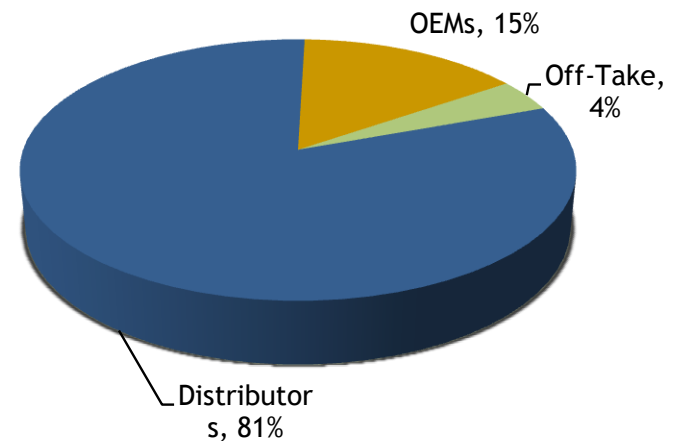
- Sports, Utility vehicles such as Golf-cart, Lawn & Garden tires, All Terrain Vehicles

Presence in various sales channels

Sales Volume Breakup FY2014



Sales Volume Breakup (FY 13)



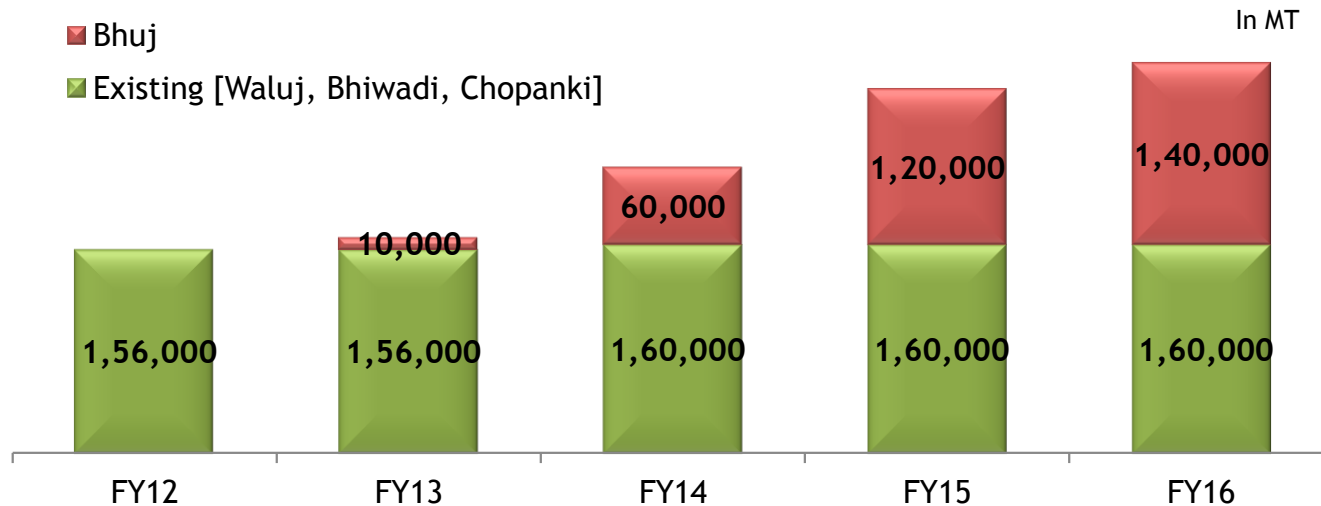
Distributors

- Caters to replacement market
- Strong global network
 - Well diversified global distributor network
- Expanding market reach
 - Increasing penetration of existing distributors
 - Adding new distributors

Supplier to leading OEMs



Manufacturing Capacity



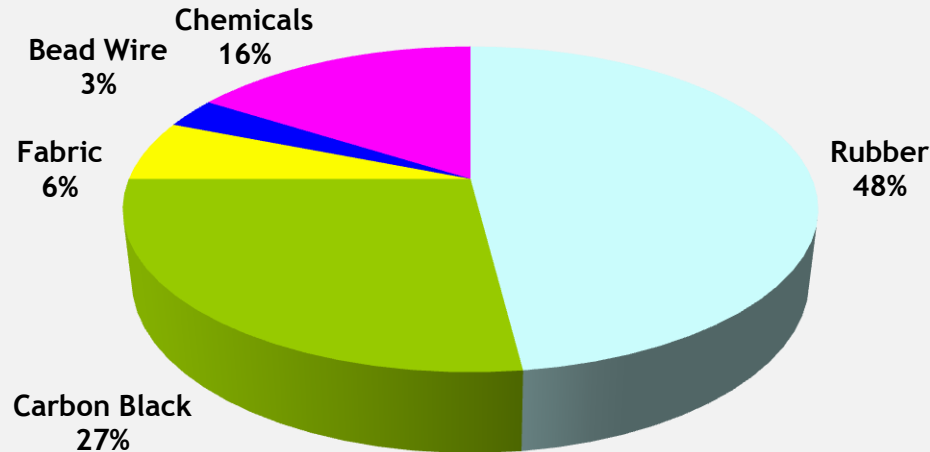
On-going
Expansion at
Bhuj

- Ramp up to take place in a phased manner
- Rs. 2,247 Crs incurred till Mar 2014
- Rs. 1,695 Crs Capitalized till Mar 2014

Total Achievable Capacity to reach at 300,000 MT post Bhuj expansion

Key Raw materials

Raw material composition



In Volume

- ◉ **Rubber sourced from**
 - India, Indonesia, Malaysia & Thailand - Major Rubber Producing countries
- ◉ **Closer to Rubber producing countries gives edge over global peers**
 - Lower logistic expenses
- ◉ **Flexibility in sourcing from India or Import**
 - No impact of Import Duty being major exporter
- ◉ **Other materials - Synthetic Rubber, Carbon Black, Fabric & Chemicals**
 - Derivatives of Crude Oil

Key Competitive Advantages



Key Competitive Advantages

Low Operating Cost ... v/s ... Global Peers

- Labor intensive business, however India manufacturing leads to considerably low labor cost compared to global peers
- Lower selling & distributing expenses due to sales by distributor network

Faster Mind to Market Product Roll-out

- Strong R&D Team for product development
- In-house mould facility leads to faster conversion

Flexible Plant Operation

- Maximize utilization of entire basket of more than 2000 SKUs
- Ensures timely execution of customer's order

Inter- Changeability of production amongst various plants

- Helps production planning to achieve optimum output
- Facilitates container dispatch of varied tires

The Radial Advantage

- Largest manufacturer of full range of Radial Tractor Tires located in a low-cost region
- Globally few manufacturers with concentration in USA & Europe
- Addition of capacity makes it a preferred global partner for radial tires

Growth Strategies



Roadmap for future growth

Sustainable Business Growth



1

Sustain market share

- Increase coverage through distributors

2

Emerging market growth

- High growth potential from emerging markets viz., Russia, CIS & India

3

New Product Introduction

- All steel radial mining tyres
- Special Puncture proof defense tyres
- Solid Tyres

4

Improvement in Operating Efficiency

- Focus on cost management

5

Increase exposure with OEMs

- Expanding OEM Base

6

Increase in production capability

- Expansion of production capacities



Future Growth Strategies

Financial Highlights



Standalone - Tire Business : Financial Highlights - Q4 & FY2014



Rs.Crs	Q4 FY14	Q4 FY13	YoY %	Q3 FY14	FY14	FY13	YoY %
Sales (MT)	40,823	34,061		33,901	142,810	138,339	
Net Sales	1,031	774		867	3,536	3,173	
Other Operating Income	6	5		17	41	17	
Revenue	1,037	779	33.0%	884	3,577	3,191	12.1%
Raw Material	501	412		400	1,718	1,827	
(Increase) / Decrease in Stock	-17	15		10	3	-36	
Employee Expenses	41	31		36	139	107	
Power & Fuel	33	26		29	117	115	
Net Exchange Difference Loss/(Gain)	38	-10		36	91	13	
Other Expenses	173	138		144	615	499	
EBITDA	268	166	61.5%	229	894	664	34.5%
<i>EBITDA Margin</i>	25.8%	21.3%		25.9%	25.0%	20.8%	
Other Income	3	1		5	14	4	
Interest & Finance Charges	10	3		6	25	20	
Net (Gain)/Loss on Foreign Currency transactions & translation	-2	-3		0	0	6	
Depreciation	48	32		43	165	108	
PBT	215	134		186	718	535	
Tax	61	49		62	229	179	
PAT	154	85	82.1%	124	488	356	37.2%
<i>PAT Margin</i>	14.9%	10.9%		14.0%	13.7%	11.2%	

Previous period figures have been regrouped/reclassified as per revised Schedule VI, wherever necessary

Standalone - Tire Business : Balance-Sheet FY2014

Rs. Crs.	Mar-14	Mar-13	Rs. Crs.	Mar-14	Mar-13
Shareholder's Fund			Non-current assets		
Share capital	19	19	Fixed assets	2,806	2,223
Reserves & Surplus	1,888	1,400	Long-term loans and advances	210	279
Non-current liabilities			Non-current investments	427	33
Long term borrowings	1,656	1,504	Current assets		
Deferred Tax Liabilities (net)	172	100	Inventories	529	432
Other non-current liabilities	40	94	Trade receivables	618	505
Current liabilities			Cash and bank balances	10	266
Short term borrowings	688	559	Short-term loans and advances	274	244
Trade Payables	343	241	Other current assets	0	7
Other current liabilities	67	72			
Total Liabilities	4,874	3,989	Total Assets	4,874	3,989

Previous period figures have been regrouped/reclassified as per revised Schedule VI, wherever necessary

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